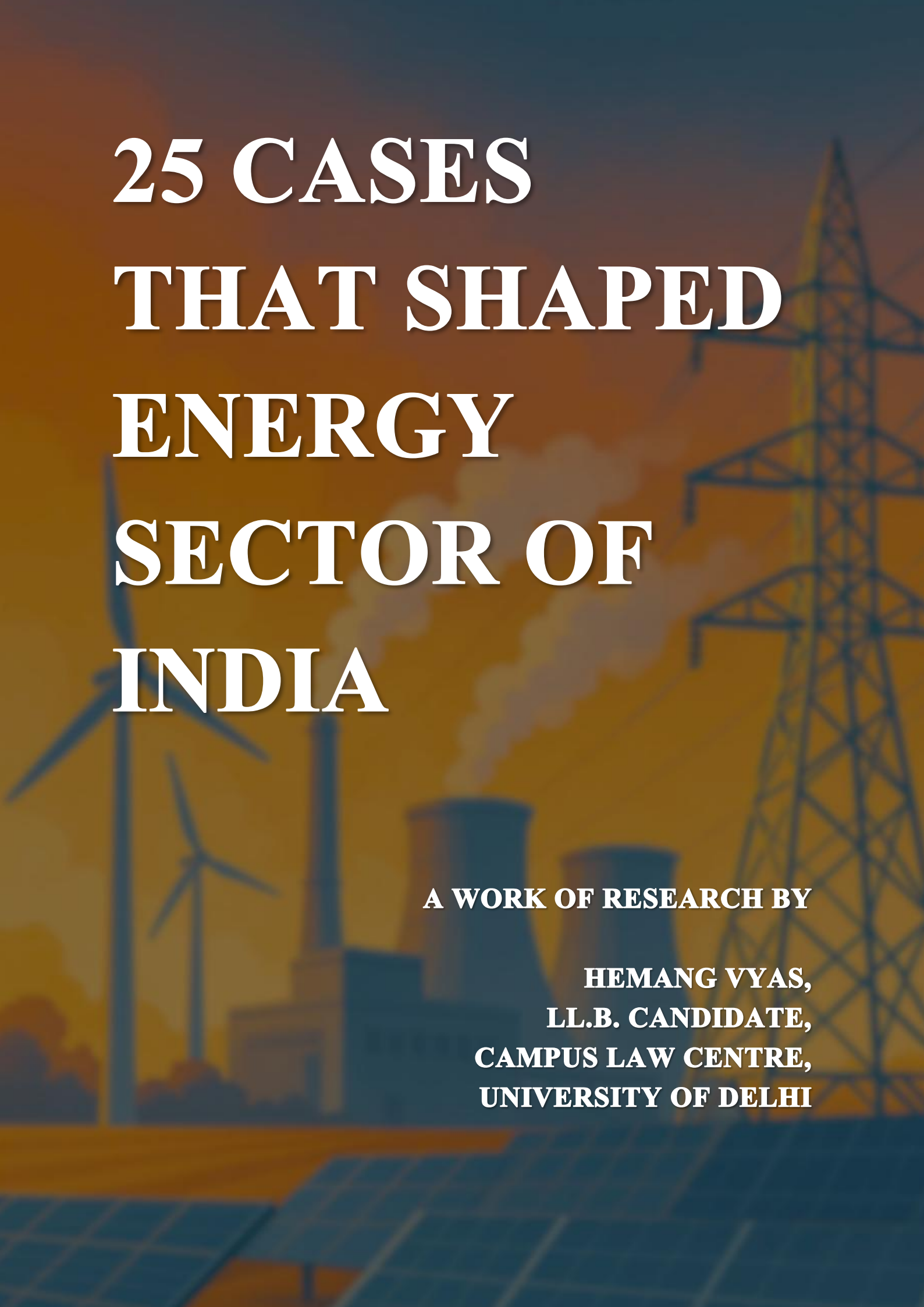


25 CASES THAT SHAPED ENERGY SECTOR OF INDIA

A WORK OF RESEARCH BY

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FOREWORD

This compilation, *"25 Judgements That Shaped the Energy Sector of India,"* originated from a research assignment entrusted to me by Mr. Adarsh Bhardwaj, Associate at PLA Advocates, during my internship with the esteemed firm during February and March 2025. I am sincerely grateful to Mr. Bhardwaj for assigning such an insightful topic, offering valuable direction, and guiding my initial foray into this pivotal area of law.

I also extend my deepest appreciation to Mr. Aniket Prasoon, Partner at PLA Advocates, whose generosity and support provided me the enriching opportunity to intern at this esteemed firm. The experiences and learnings gained during my internship significantly shaped my approach to this compilation. I remain indebted to each associated professional at PLA Advocates for their dedication, excellence, and the collaborative environment that informed and inspired this work.

Although the research and preparation of this compilation were undertaken recently, the conceptual foundation was undoubtedly laid during my internship. This document has been prepared for the benefit of the associates and interns—both present and future—of PLA Advocates. It is intended solely as an internal educational resource to facilitate understanding of key judicial decisions in the Indian energy sector.

As someone still new to the legal profession, with knowledge that remains but a drop in the vast ocean, I have nonetheless endeavoured to ensure that this collection serves as a useful and accurate reference. Every effort has been made to provide reliable content supported by appropriate citations. However, I respectfully seek pardon for any inadvertent errors that may have escaped notice.

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1. W.B. Electricity Regulatory Commission v. CESC Ltd., (2002) 8 SCC 715

Judgement Link: SCC Copy, Indian Kanoon

Explanatory Article: About Page of APTEL, Regulated contracts in infrastructure: A risk or boon? by Mr Amit Kapur | Power Line Magazine, Indian Electricity Industry: An Overview of the Prevailing Regulatory Regime | IJPIEL

Why Included: Although delivered under the older regulatory regime (Electricity Regulatory Commissions Act 1998), this Supreme Court judgment laid down foundational principles of **tariff determination and regulatory independence** that guided the later Electricity Act, 2003. It emphasized balancing consumer and investor interests and led to the creation of APTEL.

Background: The dispute arose concerning the West Bengal Electricity Regulatory Commission's (WBERC) authority to set electricity tariffs. CESC Ltd., an electricity distribution company, contested the Commission's tariff determination, questioning the extent of regulatory powers and processes involved.

Issues: (1) Jurisdiction and powers of the regulatory commission in setting tariffs. (2) Validity of tariff orders and the procedural fairness followed by WBERC.

Court's Decision: The Supreme Court upheld the Regulatory Commission's authority to set tariffs and made important observations on the role of regulators. Justice Santosh Hegde, speaking for the Court, noted that *tariff fixation is a complex exercise requiring expertise and balancing of multiple interests*. The Court held that *courts should not lightly interfere with a tariff order* unless it is manifestly arbitrary or contrary to law. **Importantly, the judgment remarked on the absence of an appellate authority to examine commission orders, observing that a multi-disciplinary appellate tribunal would be beneficial. (This was later realized in the Electricity Act 2003 by establishing APTEL).**

Significance: This case is often cited as an early affirmation of **regulatory autonomy and judicial deference** in electricity matters. It set the tone that commissions are experts and their *orders merit respect*. Its recognition of the need for a specialized appellate body in its *Para 103* directly influenced the inclusion of Section 111 (APTEL) in the 2003 Act.

2. Gujarat Urja Vikas Nigam Ltd. v. Essar Power Ltd. (2008) 4 SCC 755

Judgement: Judgement | SC

Explanatory Article: SCC Times article by JSA Partners on scope of Arbitration in Energy Sector, Regulatory Update by CAM.pdf, Interpretation by Partner Pallav at Trilegal

Why included: This judgment confirmed the exclusive jurisdiction of electricity commissions over PPA disputes involving licensees/generators, even if the contract had an arbitration clause. It settled that regulatory adjudication prevails over private arbitration in the power sector.

Background: GUVNL (the Gujarat state utility) had a power purchase agreement with Essar Power which contained an arbitration clause. When disputes arose, Essar invoked the arbitration clause, but GUVNL argued that after the Electricity Act 2003, the State Commission has exclusive jurisdiction over such disputes and the arbitration agreement is void. The case went through the High Court to the Supreme Court.

Issue: Can parties to a power procurement agreement bypass the Electricity Act's dispute resolution mechanism by providing for private arbitration in the contract? In other words, does Section 86(1)(f) override contractual arbitration clauses for electricity contract disputes?

Court's Decision: The Supreme Court ruled that **jurisdiction lies with the State Electricity Commission, not arbitrators, for disputes between licensees and generating companies**. It interpreted Section 86(1)(f) – which empowers Commissions to adjudicate or refer to arbitration disputes between licensees and generators – as a special regime overriding the Arbitration Act. The Court famously held using *Para 58 and 59* that "*whenever there is a dispute between a licensee and the generating companies only the State Commission or Central Commission (as the case may be) or arbitrator (or arbitrators) nominated by it can resolve such a dispute*" (Interpretation by CERC)[1],*"all disputes between a licensee and a generator shall be adjudicated by the Commission"* (Interpretation by TNERC)[2] and an arbitration clause in the PPA cannot oust this statutory remedy. However, the Commission could itself refer the matter to an arbitrator nominated by it (to be conducted under its aegis) if it so chooses.

[1] Shiga Energy Pvt. Limited v. PGCIL 92/MP/2018 CERC
[2] PPN Power Generating Company Pvt.,Ltd. v. The Chairman, Tamil Nadu Electricity Board, D.R.P. No. 7 of 2008 TNERC

Significance: This judgment ensured that **regulatory commissions are the primary forum for power contract disputes**, bringing domain expertise and consistency to their resolution. It prevented fragmentation of dispute resolution and forum-shopping. After this, nearly all PPA disputes (tariff issues, compensation claims, etc.) have been adjudicated by ERCs/APTEL/SC, rather than private arbitrations. The decision thus strengthened *regulatory oversight and uniformity* in the interpretation of power contracts, and is cited whenever questions of arbitration vs commission jurisdiction arise.

3. PTC India Ltd. v. Central Electricity Regulatory Commission, (2010) 4 SCC 603

Judgement Link: Digital Supreme Court Reports

Explanatory Article: Regulated contracts in infrastructure: A risk or boon? By Amit Kapur, Joint Managing Partner, JSA, APTEL upholds the right of DISCOMS to exit from agreements with 25-year-old Thermal Generating Stations - JSA

Why Included: This Supreme Court case in Constitution Bench clarified all agreements / contracts have to be aligned with the Regulations (the subordinate legislation) if it falls under the domain of the Regulation. It reinforced the autonomy of electricity regulators in tariff and policy matters.

Background: PTC India (a power trading company) challenged a CERC regulation capping trading margins. The issue was whether such regulations could be appealed to APTEL or only be challenged via writ, and generally the extent of CERC's power under Section 178 of the Act. **Issue:** Did CERC have authority to issue binding regulations (like trading margin caps) and what is the proper forum to challenge such regulations?

Court's Decision: The Supreme Court held that regulations made by CERC under Section 178 are **subordinate legislation with the force of law**, not mere orders. Such regulations cannot be appealed in APTEL; they can only be reviewed through writ jurisdiction. The Court affirmed that *electricity regulators have wide powers to frame regulations on tariff and other matters*, and courts should not lightly interfere with expert regulators' decisions. This judgment ensured **regulatory oversight and autonomy** by upholding the legal force of commissions' regulations and limiting judicial intervention in policy unless regulations are ultra vires. *(Para 52, 92 and 93)*

4. M/s Sesa Sterlite Ltd. v. Orissa ERC (2014) 8 SCC 444

Judgement Link: Digital Supreme Court Reports

Explanatory Article: Clarifying the Liability of SEZ Developers as Distribution Licensees: MS Sesa Sterlite Ltd v. Orissa Electricity Regulatory Commission: Supreme Court Of India | CaseMine

Why included: A significant Supreme Court ruling on open access and cross-subsidy surcharges (CSS). It clarified that even *deemed distribution licensees* (like an SEZ developer) must pay CSS when drawing power through open access, thereby upholding the subsidization framework.

Background: Sesa Sterlite (formerly Vedanta) had a captive power plant and sought to transmit power to its industry through open access, claiming exemption from cross-subsidy surcharge (CSS) since it had applied for a distribution license. OERC refused to register its PPA and held Sesa must pay CSS to the local DisCom (WESCO) for using open access. APTEL upheld OERC's decision, and Sesa appealed to the Supreme Court.

Issue: Whether an entity in an SEZ, availing open access power for self-use, is liable to pay cross-subsidy surcharge meant to compensate the local DisCom for loss of a consumer.

Court's Ruling: The Supreme Court unequivocally held Sesa liable for CSS. It reasoned that the Electricity Act's provisions on open access apply equally – an SEZ developer using open access is not exempt from surcharge. **Court "reinforced the necessity of CSS payments regardless of deemed licensing status"**, making large consumers still contribute to subsidy obligations. The verdict provided clarity that special zones are not a tariff haven; they must comply with broader regulatory charges designed to ensure other consumers (like subsidized categories) are not unduly affected.

5. Hindustan Zinc Ltd. v. Rajasthan Electricity Regulatory Commission, (2015) 12 SCC 611

Judgement Link: Judgement | SC

Explanatory Article: Energizing the Future | Nishith Desai Associates, PIB report on the same, Climate Case Chart, Regulators and Regulation under the Electricity Act 2003 | IJPIEL @Pg4, Commentary | World Resources Institute

Why Included: This Supreme Court order upheld the validity of **Renewable Purchase Obligations (RPO)** and their applicability to captive power producers and open access consumers, thus strengthening India's renewable energy policy enforcement.

Background: Hindustan Zinc Ltd (HZL) and other industries with captive power plants in Rajasthan challenged the RERC Renewable Energy Obligation Regulations, 2007, arguing that imposing RPO on captive generators was beyond the commission's powers. The Rajasthan High Court had dismissed their challenge, and the matter reached the Supreme Court.

Issue: Can state regulators lawfully impose RPO requirements on captive generators and other obligated entities, and penalize non-compliance?

Court's Decision: The Supreme Court **dismissed Hindustan Zinc's appeal in May 2015**, effectively **upholding RERC's RPO Regulations**. The Court concurred that the Electricity Act 2003 and National Policies permit such obligations to promote renewable energy. By refusing to strike down the RPO rules, the SC confirmed that even captive producers must comply with purchasing a certain percentage of renewable power or equivalents. Following the decision, Hindustan Zinc and others were bound to meet the RPO or pay regulatory charges.

Significance: The judgment sent a strong signal that *renewable purchase obligations are legally binding* on all mandated entities. It empowered regulators across India to enforce RPO targets strictly. In fact, soon after, APTEL (in a suo motu 2015 proceeding) directed all states to enforce RPO targets rigorously. The Hindustan Zinc case is frequently cited as the Supreme Court's affirmation of India's renewable mandate, bolstering the nation's renewable energy trajectory by ensuring industrial resistance cannot easily derail RPO compliance.

6. A.P. Power Coordination Committee v. Lanco Kondapalli Power Ltd., (2016) 3 SCC 468

Judgement Link: Digital Supreme Court Reports

Explanatory Article: CERC Order in Petition No. 270/MP/2022 Page@12, Vaish Associates @Page12

Why included: It addressed the applicability of the Limitation Act, 1963 to proceedings under the Electricity Act. The Supreme Court held that claims before commissions are not time-barred by Limitation Act unless expressly provided, thus enabling old power sector claims to be decided on merits.

Background: Lanco had raised a payment dispute under a PPA many years after the cause of action arose. The Andhra Pradesh discoms argued the claim was time-barred. The State Commission and APTEL had differed on whether limitation applied to Commission adjudications.

Issue: Does the Limitation Act apply to adjudication of disputes by electricity regulatory commissions (and APTEL), thereby barring stale claims after 3 years?

Court's Ruling: The Supreme Court found that the Electricity Act is a self-contained code and does not explicitly adopt limitation provisions for commission proceedings. It ruled that in absence of any specific bar, the commission/tribunal could decide even delayed claims, considering the sectoral context.

Implication: The judgment allowed older claims (e.g., generators' dues or tariff true-up claims from past years) to be heard, preventing technical dismissal. However, the Court also noted that regulators can enforce reasonable timeframes by regulation. *Useful in list:* It clarifies procedural law in the power sector – that regular civil limitation may not straightjacket regulatory justice unless the statute prescribes it.

7. Gujarat Urja Vikas Nigam Ltd. v. Tarini Infrastructure Ltd., (2016) 8 SCC 743

Judgement Link: Judgement | SC

Explanatory Article: Regulator can review power tariff in PPA | Business Standard, ELP Energy Sector Book @Pg58

Why included: This Supreme Court judgment introduced flexibility in PPA tariffs by allowing revisions in extraordinary circumstances. It confirmed that regulatory commissions can revisit an approved PPA tariff if warranted by public interest.

Background: Tarini Infrastructure had a small hydro PPA with Gujarat Urja (GUVNL) at a tariff set in 2007. After project delays and cost increases, the generator sought a higher tariff. The Gujarat commission refused, citing the sanctity of the PPA. APTEL, however, allowed a tariff review. GUVNL appealed, insisting the tariff was locked by contract.

Issue: Can a State Commission re-determine or amend the tariff in a concluded PPA on a generator's request due to intervening events, or is the contract rate inviolable?

Court's Ruling: The Supreme Court dismissed GUVNL's appeal, endorsing APTEL's view. It held that while PPAs are binding, regulators should "lean in favour of flexibility" and not treat the tariff as immutable if public interest so demands. The Court noted regulators have a statutory duty to ensure just and reasonable tariffs.

Important Quote: The tariff stipulated in a PPA **is not sacrosanct** and may be revisited if warranted by surrounding events and public interest. This enabled relief for generators in genuine hardship, subject to regulatory scrutiny, marking a shift from a strict contractarian approach to an equitable, consumer-conscious approach.

8. Gujarat Urja Vikas Nigam Ltd. v. EMCO Ltd., (2016) 11 SCC 182

Judgement Link: Judgement | SC

Explanatory Article: Casemime Commentary, APTEL Appeal No. 169 of 2015

Why included: This case upheld the sanctity of contractual deadlines in PPAs, especially in renewable energy projects. The Supreme Court ruled that a generator missing a key milestone could not claim the higher tariff, reinforcing that parties are bound by PPA terms.

Background: EMCO had a solar PPA under which a certain tariff was available only if the project was commissioned by a cutoff date; delays would result in a lower tariff as per regulations. EMCO missed the date but sought the originally agreed higher tariff, citing various excuses. Gujarat Urja (the procurer) and the commission enforced the lower rate.

Issue: Whether a developer can be granted the benefit of an earlier, higher tariff despite failing to meet conditions precedent (like timely commissioning) due to purported hardships.

Court's Ruling: The Supreme Court rejected the generator's plea and upheld the commission/GUVNL's stance. It emphasized that **the PPA's terms must be honored** – if the contract linked tariff to a commissioning date, missing it means the reduced tariff applies. The Court found no force majeure or legal basis to relieve EMCO from its bargain.

Key Takeaway: This judgment sent a clear message that renewable developers must adhere to contractual obligations and cannot expect ex-post facto tariff increases or retention of benefits in the absence of a valid contractual or statutory provision. It brought certainty to PPA enforcement.

9. All India Power Engineer Federation v. Sasan Power Ltd., (2017) 1 SCC 487

Judgement Link: Judgement | SC

Explanatory Article: Regulated contracts in infrastructure: A risk or boon? By Amit Kapur, Joint Managing Partner, JSA

Why included: It stopped a generator from recovering charges for power supplied outside the agreed commissioning schedule, reinforcing adherence to PPA terms and protecting consumers from extra-contractual costs.

Background: Sasan UMPP (Reliance Power) declared commercial operation of a unit in March 2013 and injected power, but the procurers treated the official COD as August 2013 per agreed tests. Sasan sought payment for power from March–August 2013, which was not initially charged (termed infirm power). APTEL had allowed Sasan's claim, calling that energy "deemed" supply. State utilities and a consumer federation (AIPEF) appealed.

Issue: Can a generator claim tariff for pre-COD infirm power or for a period the PPA did not cover, essentially seeking a waiver of contractual terms on commissioning requirements?

Court's Ruling: The Supreme Court set aside APTEL's decision and denied Sasan's claim. It held that **contractual obligations and timelines cannot be waived if contrary to public interest**. The Court noted that allowing Sasan's retrospective tariff would burden consumers outside the PPA framework. It famously said a constitutional court must "thwart any waiver of contractual obligations if it adversely affects consumers" – when electricity tariff is impacted, consumer interest (and thus public interest) is at stake.

Utility: This judgment is often cited to ensure generators stick to contract conditions (like achieving COD before billing at full tariff) and that any deviation harming consumer tariffs won't be sanctioned by courts.

10. Energy Watchdog v. CERC, (2017) 14 SCC 80

Indian Kanoon Link: Digital Supreme Court Reports

Explanatory Article: SC examines the Ambit of Force Majeure Clause in Agreements | SS Rana & Co, Timely Recovery of Dues due to 'Change in Law' - Redlaw Legal Services | A Law Firm

Why Included: A defining Supreme Court ruling on force majeure and change in law in power purchase agreements (PPAs), especially in the context of rising fuel costs. It also clarified the jurisdiction of regulators over multi-state PPAs.

Background: After Indonesia changed its coal export pricing regulations in 2011, Indian power producers (Adani Power and others) faced higher coal costs for their long-term PPAs. CERC had allowed a compensatory tariff, treating the Indonesian law change as a force majeure or change in law. Energy Watchdog (an NGO) challenged this, arguing that the PPA terms did not permit tariff hike for foreign law changes.

Issues: (1) Whether an increase in coal cost due to a foreign law (Indonesia's regulation) is a force majeure event or change in law under Indian PPAs, justifying compensatory tariff; (2) the extent of CERC's powers to give relief when tariffs are discovered by bidding under Section 63. **Court's Decision:** The Supreme Court denied compensatory tariffs for the coal price hike, holding that the Indonesian regulation was neither an excusable force majeure nor a "change in law" under the Indian PPA. The Court noted that the PPAs' force majeure clause expressly *excluded rise in fuel costs*, and an event making the contract more onerous does not amount to frustration or force majeure if performance is still possible (even if costly). It held that only changes in Indian law (including Indian government policies/statutes) qualify as "Change in Law" for tariff adjustment, not foreign laws. The Court ruled that CERC could not use its regulatory powers to alter competitively bid tariffs except as per contract terms.

Significance: This judgment brought certainty to PPAs by upholding sanctity of contract: generators must bear fuel cost risks unless the PPA expressly allocates them. It also affirmed that *Section 63 tariffs (discovered by bidding) are binding*, and regulators cannot revise them under generic equitable powers. (Notably, the Court did acknowledge that domestic policy changes like Indian coal allocation policy could be Change in Law, entitling limited relief, but foreign developments could not)[3].

[3] Para 57, Energy Watchdog v. CERC, (2017) 14 SCC 80

11. Nabha Power Ltd. v. Punjab SPCL, (2018) 11 SCC 508

Judgement Link: Digital Supreme Court Reports

Explanatory Article: Nabha Power case in a nutshell | Nishith Desai Associates**,** Contract law: 3 most important SC judgments | SAM, SC rules on when express term can be implied | LKS

Why Included: A significant Supreme Court judgment on interpretation of PPAs and the implication of terms. Though a contract law case, it arose from a power project and established how courts/commissions should read contracts in the energy sector. It introduced the "business efficacy" test in the context of PPAs, holding that an unexpressed essential term can be implied to give effect to the contract's purpose.

Background: Nabha Power (a subsidiary of L&T) set up a thermal plant in Punjab. A dispute arose with PSPCL (Punjab discom) over who should bear the cost of transporting coal and unloading (known as "shunting charges" at the railway siding). The PPA was silent on this specific cost. PSPCL refused to pay, arguing the tariff was all-inclusive; Nabha Power claimed this unforeseen cost must be reimbursed to make the contract workable. After arbitration and appeals, the matter reached the Supreme Court.

Issues: (1) Can a term be implied into the PPA allocating responsibility for coal transit losses and railway shunting charges, since the contract did not explicitly cover it? (2) Generally, the extent to which courts/regulators can go in adding or interpreting terms in a detailed PPA.

Court's Decision: The Supreme Court ruled that courts should ordinarily not rewrite contracts, but an implied term may be recognized if it is necessary to give *business efficacy* to the agreement. The Court applied the officious bystander test and business efficacy test, finding that the parties, as prudent businessmen, would have intended PSPCL to bear the railway shunting charge (since the fuel supply agreement was in PSPCL's name and it was a pass-through item). The judgment famously stated that a term can be implied *"only if it is necessary to give efficacy to the contract"* and not merely because it appears fair. The Supreme Court implied the term that PSPCL would bear the additional unloading cost, since without such an implication the PPA's intent (full cost pass-through of fuel) would be frustrated.

Significance: Nabha Power is cited for guiding how energy contracts are interpreted – *giving effect to the contractual intent and purpose, and implying terms only when absolutely necessary to avoid failure of the contract*. It cautioned commissions and arbitrators against rewriting bargains under the guise of equity. The case ultimately reinforces that while the sanctity of contract is paramount, genuine gaps that impede performance can be filled by logical implication, ensuring the project's viability as intended.

12. Uttar Haryana Bijli Vitran Nigam Ltd. v. Adani Power Ltd., (2019) 5 SCC 325

Judgement Link: Judgement | SC

Explanatory Article: Additional charges levied by State Instrumentalities are 'Change in Law': Supreme Court | SCC Blog,

Why Included: In this sequel to the Energy Watchdog case[4], the Supreme Court settled the methodology for compensating generators for domestic coal shortfall under change-in-law claims. It upheld generators' rights to compensation for domestic policy changes (like coal allocation policy) while fine-tuning the restitution principles. It also ensured timely implementation by directing government facilitation.

Background: After *Energy Watchdog (2017)* confirmed that domestic changes (such as the Government's New Coal Distribution Policy reducing coal supply from Coal India) qualify as "change in law," Adani Power sought compensation for shortfall in domestic coal for its Haryana PPA. CERC awarded compensation for the coal shortfall from 2013–2017 and devised a formula. Haryana discoms (UHBVN/DHBVN) disputed parts of the compensation (like carrying cost, etc.) in APTEL and then the Supreme Court.

Issues: How to compute compensation to restore the generator to the same economic position as if the change had not occurred – specifically, the treatment of shortfall quantity, alternative coal costs, and carrying costs (interest on deferred recovery). Also, whether generators should be made whole for the entire shortfall or only 70% (since original coal linkage was 70% domestic, 30% imported).

[4] Energy Watchdog v. CERC, (2017) 14 SCC 80

Court's Decision: The Supreme Court in 2019 upheld CERC's approach to compensate Adani Power for the domestic coal shortfall as a Change in Law, reiterating the contract's restitution principle: the affected party must be brought to the same economic position as if no change occurred. It was said that insofar as the "operation period" is concerned, compensation for any increase/decrease in revenues or costs to the seller is to be determined and effected from such date as is decided by the appropriate Commission. It has further been held that the compensation is only payable for an increase/decrease in revenue or cost to the seller if it is in excess of an amount equivalent to 1% of the Letter of Credit in aggregate for a contract year. It has also been held that an in-built restitutionary principle compensates the party affected by such 'Change in Law' and the affected party must be restored through monthly tariff payment to the same economic position as if such 'Change in Law' had not occurred.

Significance: This ruling gave finality to the "compensatory tariff" saga by detailing the relief computation for domestic coal shortfalls. It assured investors that *contracts will be honored and genuine cost increases due to sovereign acts will be compensated*, thus restoring faith in long-term PPAs. It also set a precedent for allowing carrying costs on approved change-in-law claims (treating them akin to legitimate pass-through costs), influencing many subsequent orders.

13. Ajmer Vidyut Vitran Nigam Ltd. v. Rahamatullah Khan, (2020) 4 SCC 650

Judgement Link: Digital Supreme Court Reports

Explanatory Article: CaseMine, 2020 SCC Vol. 4 Part 3 | SCC Times, LiveLaw, Barandbench

Why included: This Supreme Court decision interpreted Section 56(2) of the Electricity Act regarding recovery of old dues. It held that distribution companies cannot disconnect power for a bill issued beyond 2 years of consumption, bringing relief to consumers from surprise retrospective bills.

Background: A Jaipur consumer was billed in 2014 for a meter fault resulting in under-billing since 2009. The discom demanded arrears for 5 years. The consumer cited Section 56(2), which bars recovery of charges after two years unless already continuously shown as dues. The High Court forbade disconnection for the old dues; the discom appealed.

Issue: Does Section 56(2) prohibit the utility from raising or recovering charges after two years of the date when the consumption occurred, even if the under-billing is discovered later?

Court's Ruling: The Supreme Court analyzed that the amount becomes "first due" only when a bill is raised. It held that while the discom can issue a supplementary bill for past undercharged units (the liability to pay arises on billing, not on consumption alone), Section 56(2) **prevents disconnection for charges older than 2 years** if they were never billed. In essence, the utility may recover the amount through legal means, but cannot cut supply for non-payment of such time-barred dues.

Significance: It protects consumers from disconnection due to the utility's lapse in billing and incentivizes timely and accurate billing by utilities. (This ruling, read with *Prem Cottex*[5] below, clarifies that while past dues can be charged, coercive actions are limited.)

14. Prem Cottex v. Uttar Haryana Bijli Vitran Nigam Ltd., (2021) 20 SCC 200

Judgement Link: Judgement | SC

Explanatory Link: Is Denial of Access to Electricity a Violation of Article 21? | The RMLNLU Law Review Blog, LiveLaw,

Why included: Building on *Rahamatullah Khan*, this Supreme Court judgment held that a distribution company can raise a supplementary bill for past undercharges (even beyond 2 years) due to a mistake, and doing so is not a "deficiency of service." It ensured utilities can correct bona fide errors, but with due process for recovery.

Background: Prem Cottex's meter had an erroneous multiplier, leading to short-billing for several years. In 2009, UHBVN raised a huge supplementary bill for the period of error. The consumer appealed, terming the delayed demand a deficiency in service and invoking the 2-year limitation. The National Consumer Commission and Supreme Court had to decide if the additional demand was lawful. **Issue:** Whether raising a long-delayed demand for under-billed electricity amounts to a service lapse by the discom, and if Section 56(2) bars such recovery.

Court's Ruling: The Supreme Court ruled in the discom's favor. It held that issuing a "short assessment notice" on discovering a billing error **is not a deficiency in service** – rather, the consumer did consume the electricity and owes for it. The Court observed that Section 56(2) does not prohibit the licensee from raising a supplemental bill for past dues if it is due to a mistake. However, the discom must follow due process (cannot straightaway disconnect without allowing payment). It also cited that electricity is a basic amenity that cannot be arbitrarily disconnected.

[5] Prem Cottex v. Uttar Haryana Bijli Vitran Nigam Ltd., (2021) 20 SCC 200

Impact: Prem Cottex allowed utilities to correct under-billing mistakes (protecting revenue) while affirming consumers' right to be treated fairly (advance notice and no summary disconnection for old errors). It struck a balance between consumer protection and utility recovery.

15. Parampujya Solar Energy (P) Ltd. v. CERC, 2022 SCC OnLine APTEL 80

Judgement Link: Judgement | APTEL

Explanatory Article: JSA Prism | Parampujya, Case Commentry | IJPIEL

Why included: APTEL's decision in this case expanded the scope of "Change in Law" relief to include **carrying cost (interest) on the compensation**, strengthening the principle of restitutive relief for generators. It set a precedent for full compensation when unforeseen changes (like new taxes) impact renewable projects.

Background: Multiple solar developers (including Parampujya, an Adani group entity) incurred additional costs due to the introduction of GST in 2017 – a change in law under their PPAs. CERC allowed compensation for GST but denied "carrying cost" (interest) on that amount and limited compensation to pre-commissioning period. Developers appealed, seeking full restitution (including interest for the time value of money).

Issue: Whether, under a change-in-law clause, developers are entitled not just to principal compensation for increased costs but also carrying cost to fully restore them to the same economic position as if the change had not occurred.

Tribunal's Ruling: APTEL ruled in favor of the developers. It held that the purpose of Change in Law provisions is restitutive – *"to make the affected party whole."* Therefore, **carrying cost is inherent to such relief**, since denying it would leave the developers under-compensated (given the delay in reimbursement). APTEL noted that the term "provide relief" in the PPA is broad, and cited Supreme Court dicta endorsing restitution in civil law. It also affirmed CERC's jurisdiction to grant the relief.

Utility of Ruling: Now, generators affected by changes in law (e.g. new taxes, duties) can claim interest for the period of delay in recovery. This judgment ensures that beneficiaries of power, ultimately the consumers, bear the full legitimate cost of statutory changes, and developers are kept financially whole, which is vital for project viability and investor confidence.

16. BSES Rajdhani Power Ltd. v. Delhi Electricity Regulatory Commission, (2023) 4 SCC 788

Judgement Link: Digitally Signed Judgement

Explanatory Link: BSES Rajdhani Power Ltd. v. Delhi Electricity Regulatory Commission | CaseMine Commentry

Why included: This Supreme Court judgment upheld the integrity of regulatory processes, ruling that a regulator (DERC) cannot retroactively change the methodology or norms in a true-up after having set them in a tariff order. It ensured regulatory certainty and fairness for utilities.

Background: Delhi discoms BSES Rajdhani/Yamuna argued that DERC, during annual "truing up," deviated from the originally specified loss targets and cost calculations, disallowing legitimate expenses. APTEL mostly ruled against the discoms, who then appealed to the Supreme Court.

Issue: Can a regulatory commission alter fundamental assumptions (like AT&C loss targets or depreciation methodology) during tariff true-up, which were settled in the original tariff order, thereby adversely affecting the utility?

Court's Ruling: The Supreme Court allowed the discoms' appeal on key points. It held that once the Commission set a methodology in a tariff order, **it must adhere to it for that control period**. Changing rules midway was found arbitrary. The Court set aside DERC/APTEL findings that deviated from the original framework.

Notable Principle: Regulatory bodies must act transparently and consistently; abrupt ex post facto changes violate the utility's legitimate expectations. This judgment is useful for reinforcing that while commissions have expertise, their discretion is bounded by fairness and their own published norms.

17. Maharashtra State Electricity Distribution Co. Ltd. v. Adani Power Maharashtra Ltd., (2023) 7 SCC 401

Judgement Link: Digital Supreme Court Reports

Explanatory Article: Article by Mr Amit Kapur | Power Line, Change in Law Compensation to Adani Power upheld: Supreme Court | SCC Blog, Adani Power's Compensation Claim On Maharashtra Distribution Company Upheld By Supreme Court

Why Included: This landmark judgment emphasizes progressive regulatory jurisprudence regarding restitution for changes in law and clarifies the role and limitations of state instrumentalities in electricity-related contracts.

Background: Adani Power Maharashtra Limited (APML) and Maharashtra State Electricity Distribution Company Limited (MSEDCL) signed several Power Purchase Agreements (PPAs). APML was allocated Lohara Coal Blocks to fuel its power plant. Subsequently, the coal blocks were deallocated due to their inclusion in a Buffer Zone surrounding Tadoba Andhari Tiger Reserve (TATR) by a state government notification, resulting in APML's claim for 'Change in Law' and force majeure events due to increased fuel costs.

Issues: (1) Whether deallocation of Lohara Coal Blocks qualified as a 'Change in Law' event. (2) Methodology for calculating compensation due to the deallocation. (3) Consideration of restitution principles and associated costs (including transportation).

Court's Judgement: The Supreme Court dismissed the appeals and affirmed that:

> Deallocation of coal blocks constitutes a valid 'Change in Law' event. *(Para 48)*, Full compensation for adverse economic impact must be granted without reductions.
>
> Courts generally should not interfere with concurrent findings by expert bodies like MERC and APTEL unless findings are arbitrary or ignore statutory mandates.
>
> State instrumentalities should avoid taking contradictory positions, as such practices undermine the objectives of the Electricity Act.
>
> The compensation must restore APML to the economic position it would have occupied if the coal blocks had not been deallocated. Transportation costs incurred due to alternate coal sourcing were included.

Significance/Implication: This judgment solidifies a jurisprudential approach that Prioritizes restitution and fairness in energy contract disputes involving policy-induced losses, reinforces the sanctity and binding nature of expert bodies' findings and discourages inconsistent government policy stances, thereby upholding investor confidence and ensuring regulatory certainty.

18. Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat (P) Ltd., (2023) 10 SCC 60

Judgement Link: Digitally Signed Copy of Judgement

Explanatory Article: Case Report | Insolvency and Bankruptcy Board of India**,** Supremacy of the IBC vis-a-vis The Electricity Act | CAM, mondaq.com, barandbench.com, SCCOnline Blog, Khaitan & Co

Why Included: This Supreme Court case is significant for India's power sector as it resolves the conflict between the Electricity Act, 2003 and the Insolvency and Bankruptcy Code (IBC) regarding recovery of unpaid electricity dues. **The Court confirmed that Section 238 of the IBC (the non-obstante clause) overrides the Electricity Act's Sections 173–174.** In doing so, it reasserted the IBC's waterfall scheme for liquidation and limited the earlier *"Rainbow Papers"*[6] ruling to its own facts. The decision clarifies that state utilities (like PVVNL) cannot assert a special priority outside insolvency proceedings, which is crucial for investors and creditors in the energy sector.

Background: PVVNL (an Uttar Pradesh state power distribution company) contracted in 2010 to supply electricity to Raman Ispat (a steel manufacturer). The agreement stipulated that any unpaid electricity bills would become a **charge on the company's assets**. When Raman Ispat defaulted, PVVNL obtained an order in January 2016 attaching the debtor's properties (the Tehsildar also formally created a charge). The corporate debtor entered insolvency proceedings in April 2017 and was finally ordered into liquidation in January 2018. In 2018 the NCLT (Allahabad) directed that the attached properties be released to the liquidator for sale and distribution under the IBC, treating PVVNL as an *operational creditor*. PVVNL appealed to the NCLAT, but its appeal was dismissed in May 2019. PVVNL's further appeal to the Supreme Court raised the central question of whether it could enforce its statutory charge outside the liquidation (via electricity law) or must proceed under the IBC (Section 52) and the priority waterfall.

Issue: The core issue was whether PVVNL, as an electricity distribution licensee, could **enforce its security interest** under the Electricity Act (by attachment and sale of assets) independent of the IBC liquidation process, or whether it was bound by the IBC's stand-out procedure (Section 52) and the liquidation waterfall. In particular, could PVVNL's unpaid dues be treated as "government dues" (which rank lower under Section 53(1)(e) of the IBC), or must they be classified as ordinary secured/operational debt paid under the IBC hierarchy.

[6] State Tax Officer v. Rainbow Papers Ltd., (2023) 9 SCC 545

Ruling:

IBC Supremacy: The Court held that Section 238 of the IBC overrides **the Electricity Act's Sections 173–174**. In other words, once insolvency proceedings are on, the IBC's priority scheme governs recovery of all debts, even if the Electricity Act contains a non-obstante clause.

Valid Security Interest: PVVNL's charge on the debtor's assets (by agreement and attachment) was recognized as a valid security interest. However, the Court clarified that PVVNL – being a state-owned utility but not the State itself – is an operational/financial creditor, **not a "government creditor"** under Section 53(1)(e). Its dues do *not* rank with central or state government dues, but rather as secured debt in the waterfall. The judgment outlined the IBC waterfall (priority of costs, workmen, employees, unsecured, then government/secured, etc.). It explained that Section 52 gives a secured creditor the option either to relinquish its security (for higher priority) or to enforce it outside liquidation under strict procedures (notice, proof, costs). The secured creditor may "stand out" of liquidation, but any excess recovery must be turned over to the liquidator, and any shortfall is treated as lower-priority debt.

Rainbow Papers Distinguished: The Court confined *State Tax Officer v. Rainbow Papers Ltd.* (2022) to its facts. It noted Rainbow arose in a corporate-resolution (not liquidation) context and had overlooked the IBC waterfall. In Rainbow, the Gujarat VAT Act was interpreted to make a state the secured creditor; here, by contrast, the Court emphasized that the IBC clearly separates "government dues" from other secured debts. Legislative intent, as shown by Section 53, is that government dues rank lower.

Disposition: PVVNL's appeal was dismissed. The Supreme Court ordered that the **liquidator must admit and settle PVVNL's claim according to IBC law**. PVVNL cannot ignore the liquidation process or use the electricity laws to achieve a higher-priority recovery.

Implications: The decision has major implications for the power sector. It **reaffirms that electricity dues are subject to the IBC priority hierarchy**, not immune from it. Even state distribution companies cannot treat unpaid tariffs as privileged government claims. In practice, this means all creditors of a power company – whether a private or public licensee – must accept that recovery of arrears will follow the standard IBC waterfall. Importantly, the judgment gives confidence to lenders, bidders and investors in power assets: liabilities like electricity bills will be settled in insolvency the same way as in other industries. By confining Rainbow Papers to its narrow facts, the Court has clarified that no special "rainbow protection" extends beyond what the IBC expressly provides. Overall, Paschimanchal Vidyut confirms that in India's energy sector, insolvencies are governed by the IBC regime, ensuring uniform treatment of creditors.

19. GMR Warora Energy Ltd. v. CERC, (2023) 10 SCC 401

Judgement Link: Digital Supreme Court Reports

Explanatory Article: Supreme Court Finally Settles Issues Related to 'Change in Law' Provisions | Trilegal, Additional charges levied by State Instrumentalities are 'Change in Law': Supreme Court | SCC Blog,

Why included: This Supreme Court judgment comprehensively settled what qualifies as "Change in Law" under PPAs. It ruled that even levies by instrumentalities like Coal India or Indian Railways (not just formal laws) can be Change in Law, and it reinforced payment of carrying costs. It also lamented repetitive challenges by discoms, prompting a sector-wide compliance push.

Background: A batch of cases (including GMR Warora) involved generators seeking compensation for a host of changes: new coal royalties/cess, rail freight hikes, Coal India quality surcharges, etc. Regulators and APTEL had largely allowed these claims, but discoms had delayed payment by appealing to the Supreme Court.

Issue: Are notifications/circulars by state entities (Coal India Ltd's additional charges, railway freight revisions) covered as "Change in Law" events under the PPA? And should generators receive interest (carrying cost) on delayed compensation?

Court's Ruling: The Supreme Court on 20 April 2023 answered **yes**. It held that the term "law" in PPAs is not limited to legislations but includes charges by statutory authorities which have the force of law on the contracting parties. Thus, coal pricing circulars, busy-season rail surcharges, etc., qualified as Change in Law. The Court upheld APTEL's earlier directives that discoms must pay these amounts with carrying cost. It strongly criticized the discoms for **"challenging concurrent findings by expert bodies without cause"**, noting this delayed generator payments and stressed the sector. The Court even urged the Government to devise a mechanism to avoid such litigation-induced delays.

Why it matters: GMR Warora is now the definitive word that all additional costs due to government or its entities' actions post-cutoff date are to be compensated. It has prompted faster compliance by discoms and improved investor confidence, knowing that the sanctity of Change in Law protection is upheld in full.

20. Uttar Haryana Bijli Vitran Nigam Ltd. v. Adani Power (Mundra) Ltd., (2023) 14 SCC 736

Judgement Link: Digital Supreme Court Reports

Explanatory Link: Adani Power entitled to Change in Law for 100 percent contracted capacity: SC | SCC Blog

Why included: A recent Supreme Court verdict settling several "Change in Law" disputes in thermal PPAs. It upheld that generators are entitled to full compensation for domestic coal shortfall and new imposts for the entirety of contracted power, rejecting attempts by buyers to limit such compensation.

Background: Adani Power's Mundra plant had PPAs with Haryana discoms. After contracting, coal supply constraints and levies (like Coal Cess, GST on freight) increased generation costs. CERC/APTEL had granted Adani change-in-law relief for 100% of the shortfall and costs, with carrying cost. The discoms challenged the extent of relief, arguing it should be partial or limited to normative quantities.

Issue: How to quantify Change in Law compensation – specifically, should a generator get relief for the entire impact on contracted capacity or only a portion (for example, corresponding to coal allocation)? Also, the finality of factual findings by CERC/APTEL was questioned.

Court's Ruling: The Supreme Court (Justice B.R. Gavai) dismissed the discoms' appeal. It affirmed that Adani Power is entitled to recover the cost impact for **100% of the contracted capacity** (which was 70% of the unit's installed capacity) – effectively upholding full compensation as determined by the commissions. The Court refused to disturb concurrent findings of the expert bodies absent illegality. It also disapproved of the discoms changing stance after benefiting from earlier methodologies.

Notable Outcome: This judgment cemented that distribution companies must honor change-in-law clauses broadly – if a cost increase falls under Change in Law (e.g. new taxes, coal shortfall beyond agreed supply), the generator gets restituted for the *entire* impact on its supply obligation. It brought an end to protracted litigation on these points, ensuring generators' financial viability when external events hike costs.

21. M/S Tata Steel Ltd. v. Odisha Electricity Regulatory Commission (OERC) Through its Secretary & Or., APL No. 337 of 2023 (APTEL, Feb. 20, 2024)

Judgement Link: Judgement Copy | APTEL

Explanatory Article: JSA Prism, mondaq | JSA

Why Included: The judgement holds that electricity from fossil-fuel based co-generation (even waste-heat recovery plants) cannot be treated as "renewable" for RPO purposes. It expressly disclaims earlier two-judge Bench rulings (e.g. *Century Rayon Ltd. v. MERC* (2010) and others[7]) as *per incuriam*, reaffirming the full-bench *Lloyds Metal & Energy* (2013)[8] decision as binding. This resolves a decade of conflicting case-law on co-gen and RPO.

Background: Tata Steel operates a 323 MW captive power plant in Odisha (258 MW waste-heat recovery co-generation; 65 MW coal-fired). Under OERC's 2021 RPO Regulations, Tata Steel petitioned for exemption from Renewable Purchase Obligations (RPO) and for set-off relief, arguing its waste-heat co-gen output reduces emissions. By order dated Feb. 1, 2023, the Odisha ERC rejected these claims. It held Tata Steel liable for RPOs on consumption from its 258 MW co-gen plant from Feb. 15, 2022 onward. (OERC had only granted an exemption for co-gen output during 2015–22 under earlier regulations.) Tata Steel appealed to APTEL under Section 111 of the Electricity Act.

Issue: Whether captive consumption from a fossil-fuel based co-generation plant (waste-heat recovery) may be exempted or set off against RPOs, and whether Sections 86(1)(e)/61(h) of the Electricity Act require co-generation to be promoted on par with renewable energy.

Ruling: The Tribunal (Chairperson R. Ranganathan, Member S.K. Sharma) upheld the OERC order in all respects:

> Neither Section 86(1)(e) nor Section 61(h) of the Electricity Act "expressly stipulate" that co-generation and renewable energy must be promoted "equally". Inserting an implied "equal" requirement into the statute would be judicial legislation.

[7] Century Rayon v. Maharashtra Electricity Regulatory Commission World Trade Centre No. 1, 2010 SCC OnLine APTEL 37
[8] Lloyds Metal & Energy Ltd. v. Maharashtra Electricity Regulatory Commission, 2013 SCC OnLine APTEL 147

Co-generation, as statutorily defined, is a *process* and not itself a renewable "source" of power. Section 86(1)(e) confers State Commissions power only over renewable sources (and separately over co-generators), but does not equate the two.

No RPO Set-off: The Tribunal held that electricity consumed from Tata Steel's fossil-fuel co-gen plant could not be set off against its RPO targets. In other words, such co-gen output offers no exemption from RPO obligations.

Upheld OERC: APTEL therefore affirmed the Impugned Order: Tata Steel must comply with RPOs on its co-gen consumption as of Feb. 15, 2022.

Precedent Overruled: The Court found the earlier Century Rayon line of cases (and subsequent two-judge Bench decisions) to be *per incuriam*, since they did not address the specific question of promoting co-gen "equally". It held the full-bench *Lloyds Metal & Energy* (2013) judgment governs this issue.

Implications: The decision reinforces that State Commissions have discretion to differentiate co-generation and renewables. Once a SERC enacts RPO rules treating them differently, the only remedy is judicial review of the regulation; APTEL under Section 111 will not "read down" valid RPO regulations. By overruling past two-member judgments, this ruling brings certainty: all future appeals must follow the full-bench *Lloyds Metal* approach. Entities relying on *Century Rayon* or similar will need to adjust their compliance strategies. The judgment noted regulators may prioritize certain renewables (e.g. fix higher RPO targets for solar vs. wind) at their discretion. It thus underscores SERCs' broad powers in shaping the renewable mix.

22. Maharashtra State Electricity Distribution Co. Ltd. v. JSW Steel Ltd., (2024) 9 SCC 505

Judgement Link: Maharashtra State Electricity Distribution Co. Ltd. (S) v. Jsw Steel Limited And Others (S). | Supreme Court Of India | Judgment | Law | CaseMine

Explanatory Article: JSA Prism

Why Included: This case reaffirms that charges levied by distribution companies must have a statutory basis under the Electricity Act, 2003. The Supreme Court upheld APTEL's earlier decision disallowing 'reliability charges' imposed on bulk consumers like JSW Steel. It underscores that industrial consumers already paying higher tariffs cannot be further burdened without express legal authority.

Background: In 2006, the Maharashtra Electricity Regulatory Commission (MERC) allowed Maharashtra State Electricity Distribution Co. Ltd. (MSEDCL) to impose an additional supply charge for uninterrupted power to bulk consumers, including JSW Steel. In 2008, MERC withdrew this charge and ordered refunds. In 2009, however, MERC again approved a 'reliability charge' for uninterrupted power supply in the Pen Circle area. JSW Steel, a continuous process industry on an express feeder, challenged the levy before APTEL, which quashed the MERC order in December 2009. MSEDCL appealed the APTEL ruling to the Supreme Court, arguing that MERC had power under Section 62(3) of the Electricity Act to impose such charges.

Issue: Whether the imposition of a reliability charge by MSEDCL was legally justified under the Electricity Act, whether JSW Steel could appeal despite not participating in MERC's public hearing, and whether JSW Steel was liable to pay the reliability charge despite already paying a higher tariff for uninterrupted power.

Ruling: The Supreme Court upheld APTEL's decision and found that there was no statutory authority—either under Section 62(3) of the Electricity Act or under MERC's applicable regulations—to justify the levy of the reliability charge. It held that JSW Steel, being directly impacted, was a 'person aggrieved' entitled to appeal under Section 111 of the Electricity Act, even without participating in the original public hearing. Furthermore, the Court recognized that JSW Steel had already paid higher tariffs as a continuous process industry on an express feeder, which entitled it to uninterrupted supply, thereby negating the need for an additional charge for reliability.

Implications: This ruling emphasizes that all charges levied by distribution companies must be grounded in express legal provisions. It limits the scope of discretionary levies by DISCOMs and affirms that industrial consumers while already paying higher tariffs cannot be subjected to additional costs without statutory support. The decision also clarifies that aggrieved consumers retain the right to appeal even if they did not participate in regulatory hearings. It strengthens consumer protection and reinforces regulatory discipline in India's electricity sector.

23. M K Ranjitsinh v. Union of India, 2024 SCC OnLine SC 570

Judgement Link: Digitally Signed Copy of Judgement

Explanatory Article: MK Ranjitsinh v. Union of India: The Supreme Court's very own Sophie's Choice moment, Barandbench, Climate Case Chart, Global Compliance News

Why Included: The famous GIB judgement – a significant environmental judgment impacting the energy sector, where the Supreme Court ordered **power lines in certain renewable-rich areas to go underground or be fitted with bird diverters** to protect endangered Great Indian Bustards. This case is included to show how wildlife conservation imperatives can influence energy infrastructure and operations, adding a layer of regulatory compliance for the renewable energy sector.

Background: Conservationists petitioned the Supreme Court concerning high bird mortality due to collision with high-voltage power lines in Rajasthan and Gujarat – critical habitats for the Great Indian Bustard (GIB). The regions (Thar and Kutch) also host numerous wind turbines and solar projects with associated transmission lines.

Issue: Whether developers and transmission companies should be required to make modifications (like undergrounding cables or installing diverters) to existing and future power lines in priority habitats to protect wildlife, and who bears the cost.

Court's Decision: In 2021, the Supreme Court acknowledged the GIB as a critically endangered species and found that overhead power lines posed an existential threat. It directed that **all low-voltage lines in the GIB habitat be placed underground**, and for high-voltage lines, it ordered installation of bird diverters within a specified time. The Court constituted a committee to monitor compliance and explore the feasibility of underground high-voltage lines as well. It balanced interests by exempting only those lines where undergrounding was not technically feasible, but even there, diverters were mandatory.

Significance: This judgment has had a direct impact on the renewable energy sector – projects in those regions face additional capital expenditure to comply. It highlights that energy infrastructure must co-exist with environmental mandates. Renewable developers are now factoring in potential wildlife impact mitigation in project costs and designs.

24. Brindavan Hydropower Private Limited Vs. Union of India & Ors. (MANU/KA/4227/2024; 2024: KHC:53048)

Judgement Link: Digitally Signed Copy | Karnataka HC

Explanatory Article: Drishti IAS, The Hindu, Manupatra Weekly Wrap January 2025, Green Energy Regulation Verdict, Karnataka High Court Strikes Down Centre's Green Energy Open Access Rules, Says It Lacks Legislative Competence

Why Included: Overturned the Centre's 2022 Green Energy Open Access Rules, reaffirming state commissions' exclusive power to regulate open access.

Background: The Central Government (via MoP) notified the Electricity (Promoting Renewable Energy through Green Energy Open Access) Rules, 2022 to facilitate green open access nationwide. Karnataka amended its regulations based on these. Private hydro firms filed petitions in KHC challenging both the Central GEOA Rules and Karnataka's corresponding rules.

Issue: Whether the Union government had authority to legislate open access conditions, or whether this power lies solely with state ERCs (Section 42(2)(d)/(e), Section 86(1)(e)). Also, whether GEOA Rules encroached on federalism.

Ruling: Justice N.S. Sanjay Gowda struck down both the Central GEOA Rules and Karnataka's regulations. He held that the Electricity Act grants open access regulation exclusively to the Appropriate Commissions (state ERCs) under Sections 86(1)(e) and 181. The Centre has no specific rule-making power on open access; it cannot usurp state ERCs' role by using residuary legislative powers. Quoting Section 86(1)(e) provisions, the Court emphasized that "generation of electricity from renewable sources… including specifying a percentage of total consumption… is cast statutorily only on the State Commission".

Implications: This landmark 2025 HC ruling reasserts federal balance in power regulation. It limits the Centre's ability to impose cross-state renewable open access rules without legislative backing. Going forward, open-access policies will primarily be set by state ERCs. The judgment may lead to constitutional challenges of other Central energy regulations and underscores that national renewable goals must respect the Act's allocation of power to states.

25. Bangalore Electricity Supply Co. Ltd. v. Hirehalli Solar Power Project LLP, (2025) 1 SCC 435

Judgement Link: Digitally Signed Copy of Judgement

Explanatory Article: JSA Prism, Lawtext

Why Included: Reasserted that force majeure clauses in PPAs must be interpreted under Contract law and narrowed the scope of SC's appellate review under Section 125 of EA.

Background: Karnataka introduced a scheme in 2014 to promote small solar farms by farmers. BESCOM signed PPAs (tariff ₹8.40/unit) with generators under this scheme. The firms faced delays (grid connectivity, approvals, demonetization). They invoked force majeure for delay and got an extension from KERC and later APTEL, which restored full tariff. BESCOM appealed to SC.

Issue: Whether the PPAs' force majeure clause justified extending the commissioning date, thus avoiding tariff cut; and whether late payment surcharge (LPS) claims needed separate pleading. Also, jurisdictional question: SC's scope under Section 125 (need for substantial question of law).

Ruling: The Supreme Court dismissed BESCOM's appeal. It emphasized that its Section 125 appellate scope is limited to substantial questions of law (there were none). Substantively, it reaffirmed that force majeure clauses are governed by Section 32 of the Contract Act, not Section 56 (impossibility). It found no error in APTEL's factual conclusion that delays (due to government approvals) were beyond developers' control and entitled them to force majeure relief. The Court also held that LPS was part of the PPA, so developers could claim it without separate pleading. The SC thus upheld APTEL's order granting extension and restored the original tariff (₹8.40).

Implications: Hirehalli reinforces that PPAs' force majeure triggers rest on contractual terms (per Contract Act §32). Regulators and parties should respect factual findings on force majeure. It also clarifies that appellate courts must strictly limit their review to law issues. For practitioners, it underscores carefully drafting force majeure and ensuring contractual remedies for payment defaults (LPS) are explicitly provided.

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